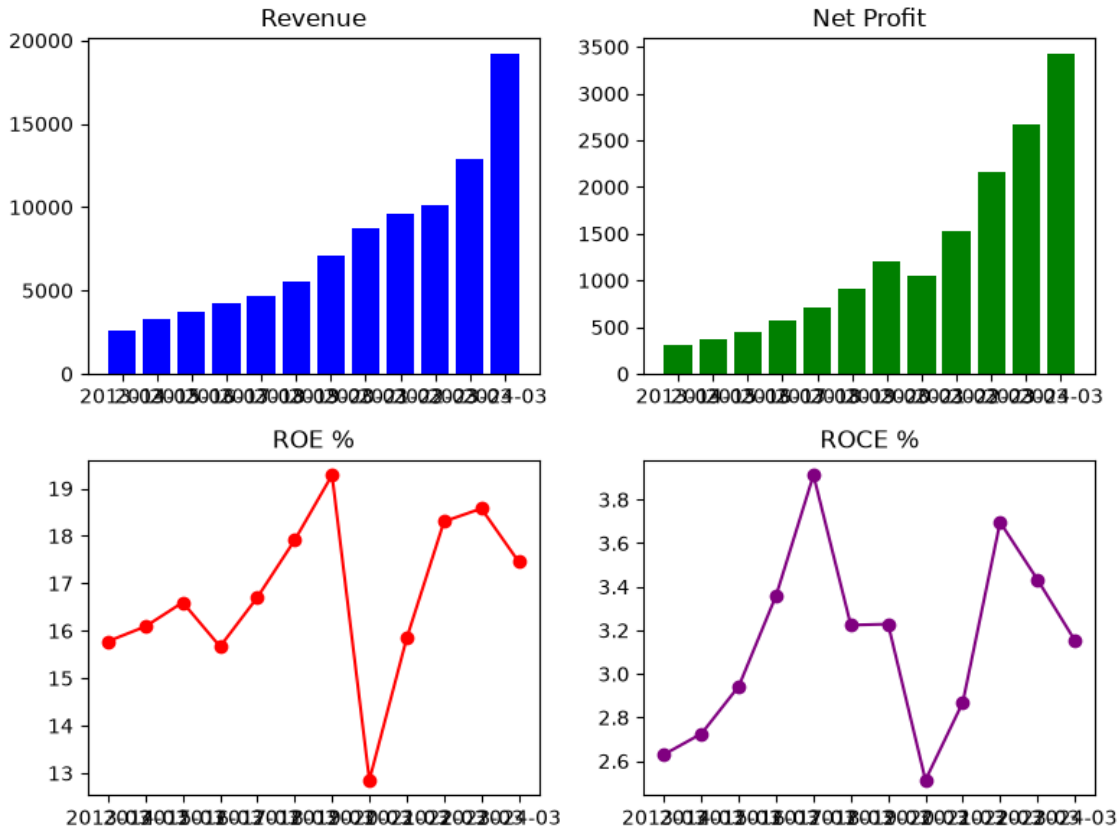
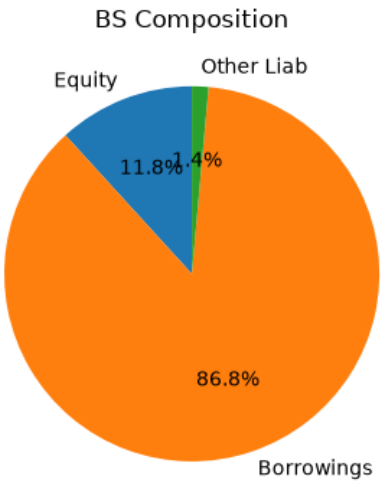
Cholamandalam Investment & Finance Company Ltd (CHOLAFIN)

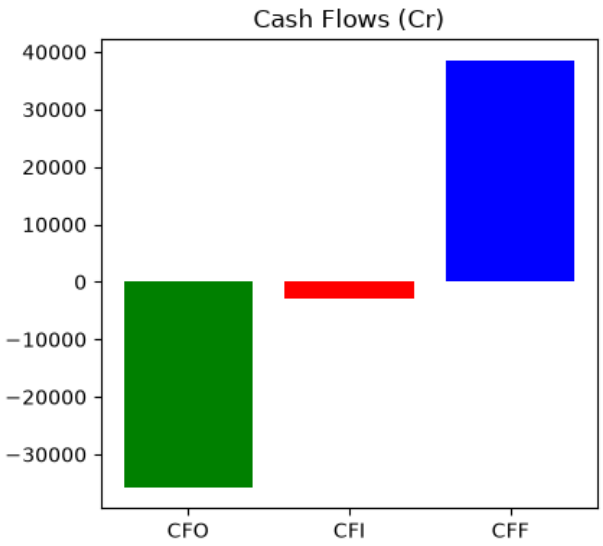
ROE	17.46%	ROCE	3.15%
D/E	6.86	OPM	28.10%
FCF	-38538 Cr	Net Profit Margin	17.85%

Performance Trends



Balance Sheet & Cash Flows





Pros & Cons

Pros: Revenue growing at above 15% CAGR over 5 years reflects strong business momentum, Operating profit margin above 25% indicates strong pricing power and cost discipline, Net profit compounding at above 20% over 5 years creates significant shareholder value, Very high interest coverage ratio reflects negligible financial stress from debt servicing, Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding, Revenue growing slower than profits shows improving operating leverage and scale benefits
Cons: Debt-to-equity ratio of 6.86 is elevated for a non-financial company and warrants monitoring, Free cash flow negative for 3 consecutive years raises concern about cash generation quality, Operating margins declining for 3 consecutive years suggest pricing or cost pressure, Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk, Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital, Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility

Capital Allocation Badge: Growth Funded by Debt